



Our ref: IM-72815

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31 January 2025

Dear Interested Party

Re: ACCC seeking your views: Allianz's Proposed Acquisition of RAAI

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of Royal Automobile Association of South Australia Incorporated's (**RAA**) general insurance business through the acquisition of RAA Insurance Holdings Limited and its subsidiary RAA Insurance Limited (together, **RAAI**) by Allianz Australia Insurance Limited (**Allianz**) (the **Proposed Acquisition**).

Allianz and RAAI both provide personal lines general insurance, including home, contents and motor vehicle insurance.

The ACCC's investigation is focused on the impact of the Proposed Acquisition on competition in Australia. In particular, we are seeking your views on:

- how closely Allianz and RAAI compete in the supply of personal lines general insurance
- the extent to which alternative suppliers of personal lines of general insurance will competitively constrain the merged entity
- the likely impact of the Proposed Acquisition on prices and quality of personal lines of insurance products
- the likely impact of Allianz's increased scale on the acquisition of ancillary repair services, including the impact on prices or terms of supply for suppliers.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test the ACCC applies when assessing mergers and acquisitions is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **14 February 2025** via email to mergers@accc.gov.au with the title: *Submission re: Allianz - RAAI*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our Informal Merger Review Process Guidelines contain more information on confidentiality

Yours sincerely

A handwritten signature in blue ink, appearing to be 'SP', written in a stylized, cursive manner.

Simon Pomery
Acting General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

Allianz

Allianz Group is a global insurance service provider. Allianz offers a range of insurance products to customers in Australia. Allianz distributes general insurance products (including home, contents and motor insurance) directly to customers in Australia through its call centres and website, as well as through distribution arrangements with partners such as brokers, financial institutions and motor vehicle dealers.

RAAI

RAA is an Australian-based, member-owned organisation that offers roadside assistance products, general insurance products, and other ancillary services to its members. The Proposed Acquisition does not include RAA's membership-based business, which includes its roadside assistance business.

RAAI underwrites home, contents and motor insurance.

All of RAAI's products are distributed through the RAA network via call centres, physical branches (all of which are located in South Australia) and the RAA website.

Areas of overlap

Allianz and RAAI overlap in the supply of personal lines general insurance, including home, contents and motor insurance.

The Proposed Acquisition

Allianz is proposing to acquire RAAI, and enter into a 20-year agreement for RAA to exclusively distribute certain Allianz and RAAI underwritten insurance products.

Attachment B – List of questions

1. To better understand your views, describe your business or organisation and explain your interest in the Proposed Acquisition, including any commercial relationship(s) with Allianz or RAAI.

Relevant markets

2. The ACCC is considering which markets are most relevant to assess the competition effects of the Proposed Acquisition. The ACCC is considering whether the relevant markets are:
 - (a) personal lines general insurance or separate markets for each of home, contents and motor insurance
 - (b) national or South Australian markets for personal lines general insurance or each of home, contents and motor insurance
 - (c) national or South Australian markets for each of smash repairs, windscreen repairs and replacements, and building repairs.

The ACCC seeks your views on which markets set out above are most relevant to assess the Proposed Acquisition, and also whether the ACCC should consider other markets (or differently defined markets) as part of its analysis.

In particular, the ACCC seeks your views on whether South Australia should be considered as a separate geographic market for the supply of home, contents and motor insurance.

Personal lines general insurance

3. Describe how closely Allianz and RAAI compete with one another in the supply of personal lines general insurance, particularly home, contents and motor vehicle insurance. Please also indicate whether you consider that Allianz and RAAI are each other's closest competitors for any lines of insurance.
4. Describe the current nature and level of competition between Allianz and RAAI and other providers of person lines general insurance in Australia. If possible, indicate:
 - (a) the key competitors to Allianz and RAAI, particularly for home, contents and motor insurance
 - (b) estimated market shares (broken down by insurance line if possible)
 - (c) whether Allianz and/or RAAI (including through their various brands) have a reputation for being particularly low priced, innovative or aggressive competitors
 - (d) the extent to which products provided by other insurers are substitutable for products provided by Allianz and RAAI
 - (e) whether competitors have the ability to expand their insurance offering, particularly by moving into insuring different risk types or asset classes.
5. Explain the extent to which competing suppliers of personal lines of general insurance (including home, contents and motor insurance) would be able to deter the merged Allianz/RAAI from increasing prices, reducing its product range, or diminishing the quality of its products.
6. Please comment on the role that insurance brokers and other intermediaries play in the industry. In particular, discuss whether the threat of these intermediaries directing consumers towards a different insurer's product could prevent the merged entity from imposing a significant increase in premiums.

Entry and expansion

7. Identify any recent or upcoming examples of entry or exit in the supply of personal lines of general insurance in Australia.
8. Outline the barriers to entering the supply of personal lines of general insurance in Australia. In your response, you may wish to comment on:
 - (a) capital costs and length of time necessary for entry
 - (b) economies of scale
 - (c) branding
 - (d) the ease with which customers can switch insurance providers
 - (e) any regulatory barriers
 - (f) any other barriers to entry.
9. Discuss how readily a supplier of other types of insurance could expand into the supply of personal lines of general insurance in Australia.

Ancillary repair services

10. Describe how closely Allianz and RAAI compete with one another, and other companies, in the acquisition of ancillary repair services, including smash repairs, windscreen repairs and replacements, and building repairs.
11. Would the merged entity be likely to have the ability and incentive to reduce the prices or otherwise degrade the terms on which it acquires ancillary repair services. Please explain why you consider that the merged entity would (or would not) have such an ability or incentive, including whether competition from other insurers would be sufficiently strong to prevent the merged entity from doing so.

Other information and competition issues

12. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.